

Assets ↴

950 Financial Services—Title Plant

350 Intangibles—Goodwill and Other

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

950-350-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
	950-350-40-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 950-350-05-1 This Subtopic addresses the accounting and reporting for [title plant](#) and related intangible assets.
- 950-350-05-2 A title plant consists of all of the following:

a. Indexed and catalogued information for a period concerning the ownership of, and encumbrances on, parcels of land in a particular geographic area

- b. Information relating to persons having an interest in real estate
- c. Maps and plats
- d. Copies of prior title insurance contracts and reports
- e. Other documents and records.

- 950-350-05-3** A title plant constitutes a historical record of all matters affecting title to parcels of land in a particular geographic area. The number of years covered by a title plant varies, depending on regulatory requirements and the minimum information period considered necessary to issue title insurance policies efficiently.
- 950-350-05-4** An entity may decide to construct or purchase a title plant that antedates the period covered by its existing title plant ([backplant](#)).
- 950-350-05-5** Title plant maintenance involves the updating of the title plant on a daily or other frequent basis by adding both of the following:
- a. Reports on the current status of title to specific parcels of real estate
 - b. Other documents, such as records relating to security or other ownership interests.
- 950-350-05-6** Title searches involve the process of searching through records for all recorded documents or updating information summarized in the most recently issued title report.

15 Scope and Scope Exceptions

 **General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

- 950-350-15-1** The guidance in this Subtopic applies to all entities that use a [title plant](#) in their operations. Those entities include, but are not limited to:
- a. Title insurance entities (underwriters)
 - b. Title abstract entities
 - c. Title agents.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Backplant

A title plant that antedates the period covered by its existing title plant.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Title Plant

A historical record of all matters affecting title to parcels of land in a particular geographic area. The number of years covered by a title plant varies, depending on regulatory requirements and the minimum information period considered necessary to issue title insurance policies efficiently.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Title Plant

- 950-350-25-1** Costs incurred to construct a [title plant](#) shall be capitalized. To qualify for capitalization, costs need to be directly related to, and properly identified with, the activities necessary to construct the title plant.
- 950-350-25-2** A purchased title plant, including a purchased undivided interest in a title plant, shall be recorded at the date of acquisition. Costs to construct a [backplant](#) need to be identifiable to qualify for capitalization. Costs incurred to maintain a title plant and to do title searches shall be expensed as incurred.

> Storage and Retrieval

- 950-350-25-3** The following costs incurred after a title plant is operational shall not be capitalized as title plant:
- a. Costs to convert the information from one storage and retrieval system to another
 - b. Costs to modify or modernize the storage and retrieval system.
- 950-350-25-4** Those costs, however, may be capitalized separately.

30 Initial Measurement

 **General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 950-350-30-1** [Title plant](#) costs to be capitalized include the costs incurred to obtain, organize, and summarize historical information in an efficient and useful manner until the title plant can be used by the entity to do title searches.
- 950-350-30-2** A purchased title plant, including a purchased undivided interest in title plant, shall be recorded at cost. For a title plant acquired separately, cost shall be measured by the fair value of the consideration given.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Title Plant

950-350-35-1 Capitalized costs of a [title plant](#) shall not be depreciated or charged to income unless circumstances indicate that the carrying amount of the title plant has been impaired.

950-350-35-2 The following circumstances may indicate that the carrying amount of title plant has been impaired:

- a. Changes in legal requirements or statutory practices
- b. Effects of obsolescence, demand, and other economic factors
- c. Actions of competitors and others that may affect competitive advantages
- d. Failure to maintain the title plant properly on a current basis
- e. Abandonment of the title plant or other circumstances that indicate obsolescence.

950-350-35-3 Those events or changes in circumstances, in addition to the examples in paragraph [360-10-35-21](#), indicate that the carrying amount of the capitalized costs may not be recoverable. Accordingly, the provisions of the Impairment or Disposal of Long-Lived Assets Subsections of Subtopic [360-10](#) apply.

> Storage and Retrieval

950-350-35-4 Capitalized storage and retrieval costs (addressed in paragraph [950-350-25-3](#)) incurred after a title plant is operational shall be charged to expense in a systematic and rational manner.

40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

950-350-40-1

The sale of a [title plant](#) shall be reported separately as follows:

- a. If an entity sells its title plant and relinquishes all rights to its future use, the reported gain or loss shall be recognized at the amount to which the entity is entitled in accordance with Subtopic [610-20](#) on the gains and losses from the derecognition of nonfinancial assets net of the adjusted cost of the title plant.
- b. If an entity sells an undivided ownership interest in its title plant (that is, the right to its joint use), the reported gain or loss shall be the amount received net of a pro rata portion of the adjusted cost of the title plant.
- c. If an entity sells a copy of its title plant or the right to use it, the recognized [revenue](#), if in a [contract](#) with a [customer](#), shall be accounted for in accordance with Topic [606](#) on revenue from contracts with customers. If the contract is not with a customer, the gain or loss shall be accounted for in accordance Subtopic [610-20](#). Ordinarily, no cost shall be allocated to the sale of a copy of or the right to use a title plant unless the value of the title plant decreases below its adjusted cost as a result of the sale (see paragraph [950-350-35-1](#)).